

165 Personal Financial Management

Description & Eligibility

Contestants will showcase personal finance expertise by analyzing credit, taxes, investments, insurance, and retirement strategies while applying risk management, consumer protection concepts, and financial calculations to solve real-world scenarios. Any secondary or postsecondary division contestant may enter this application event.

Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be disqualified.

Competition Notes

- Method of evaluation: objective | application
- AI Policy Level 1. *No AI Allowed*
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. Violation of this rule will result in disqualification.
- Length of event: no more than ten (10) minutes for orientation, no more than sixty (60) minutes for testing, and no more than ten (10) minutes for wrap-up
- Entries vary by state

Contest Competencies

1. Explain the functions of key regulatory agencies in overseeing financial institutions and protecting consumers, emphasizing compliance and ethical standards
2. Analyze credit agreements, costs, and regulatory protections to make informed borrowing decisions
3. Describe common identity theft tactics and recommend proactive measures for safeguarding personal data
4. Apply mathematical methods to calculate simple and compound interest, supporting accurate financial planning and cost analysis
5. Interpret personal income tax concepts, including deductions, credits, and filing requirements, to support compliance and financial planning
6. Describe the role of credit bureaus and analyze factors influencing credit scores
7. Evaluate the financial and legal consequences of bankruptcy, including costs, long-term impacts, and alternatives
8. Compare features, benefits, and tax implications of retirement plans and assess strategies for different life stages to promote lifelong financial security
9. Identify and explain major types of insurance, distinguish insurable vs. self-insurable risks, analyze factors affecting premiums, and calculate benefits to support effective risk management
10. Analyze investment options by evaluating risk, return, liquidity, and diversification, calculating and comparing rates of return, and explaining how diversification reduces risk and supports optimized returns
11. Differentiate between preferred and common stock, calculate dividends based on company policies, and interpret factors influencing stock price movements to apply basic analysis for predicting trends
12. Compare mutual fund categories and evaluate their suitability for different investment goals
13. Distinguish between corporate and government bonds, analyzing features, risks, and returns